

AFP

BEHIND



NIPPED IN THE BUD:
The now shut Nano plant in Singur; (far left) a pensive Bhattacharya

opposed to renewing licence to the German firm, its investments could well go the Tata way.

The first casualty of this mismatch was the Salim Groups, which came in shortly after Buddhadeb assumed office. Its Rs 20,000-crore investment package included a Special Economic Zone (SEZ) at Nandigram, townships, housing, industrial parks and related Bhattacharya announced the scrapping of the chemical hub in Nandigram and owned responsibility for the lapses

of his Government, including violence that claimed 14 lives. Subsequently, Bhattacharya's plans to invite large corporate houses in retail trade and investments has also hit a roadblock with showrooms of the food mart Reliance Fresh being attacked and vandalised across the state. Though Reliance Fresh has returned after exiting Bengal last year, the business is still gripped by fears of resistance from Left groups. Even before the Tata pullout, the Singur effect was being felt.

A US India Business Council (USIBC) team that visited India recently had struck Bengal off their list of venues. Led by companies like Cargill and Boeing, this council could have brought in many US investors to the state.

The forecasts from India Inc, where sentiments range from despondency to pessimism, is grim with the broad consensus that it was a great setback to the economy of the state which looked set for a boom. What is bothering industry is the future of other companies in Bengal at a time when a group like Tatas with their impeccable credentials could not survive the politics of the state. Says Sunil Bharti Mittal, chairman and Group CEO, Bharti Enterprises: "If the House of Tatas, known for its values and care for the society, have to go through this, think of the others. The much needed fresh wave of industrialisation in the state could suffer." Dilip Chenoy, director-general, Society of Indian Automobile Manufacturers, an apex body of the auto sector, says, "Instead, what has happened will have serious ramifications for other projects and for the state of West Bengal as well."

The search for an answer for the future has acquired extreme urgency given the overall deep freeze that has set in as far as industrial investment in the state goes. There are major schemes like IT parks, SEZs, steel plants and more in the pipeline, whose fate looks uncertain. Amit Mitra, economist and FICCI general secretary, warns that the losses could be colossal if they are hit by issues similar to Nano. "What Bengal could lose is Rs 1,93,000 crore of investment spread over 64 projects, which are in the pipeline, including Jindal's steel plant. Moreover, there are 38 SEZs with investments of Rs 40,000 crore. How will these be implemented if industry starts walking out?" wonders Mitra.

In the danger zone could be a slew of investment announcements worth Rs 87,037 crore made during the last year, with the big ticket ones being Shyam Group's capex worth Rs 9,900 crore to set up an integrated steel plant,

"If they can do this to the House of Tatas, then think of the others."

SUNIL MITTAL, CHAIRMAN AND CEO, BHARTI ENTERPRISES